own currency with other currencies or SDRs. A member can unconditionally borrow from the Fund in a year equal to 25% of its quota. This unconditional borrowing right is called the reserve tranche.

Special Drawing Rights (SDRs)

The Fund has succeeded in establishing a scheme of Special Drawing Rights (SDRs) which is otherwise called 'Paper Gold'. They are a form of international reserves created by the IMF in 1969 to solve the problem of international liquidity. They are allocated to the IMF members in proportion to their Fund quotas. SDRs are used as a means of payment by Fund members to meet balance of payments deficits and their total reserve position with the Fund. Thus SDRs act both as an international unit of account and a means of payment. All transactions by the Fund in the form of loans and their repayments, its liquid reserves, its capital, etc., are expressed in the SDR.

The achievements of the fund can be summed up in the words of Haien that 'Fund is like an International Reserve Bank.'

(ii) Extended Fund Facility

Under this arrangement, the IMF provides additional borrowing facility up to 140% of the member's quota, over and above the basic credit facility. The extended facility is limited for a period up to 3 years and the rate of interest is low.

(iii) Compensatory Financing Facility

In 1963, IMF established compensatory financing facility to provide additional financial assistance to the member countries, particularly primary producing countries facing shortfall in export earnings. In 1981, the coverage of the compensatory financing facility was extended to payment problem caused by the fluctuations in the cost of cereal inputs.

(iv) Buffer Stock Facility

The buffer stock financing facility was started in 1969. The purpose of this scheme was to help the primary goods (food grains) producing countries to finance contributions to buffer stock arrangements for the stabilisation of primary product prices.

(v) Supplementary Financing Facility

Under the supplementary financing facility, the IMF makes temporary arrangements to provide supplementary financial assistance to member countries facing payments problems relating to their present quota sizes.

(vi) Structural Adjustment Facility

The IMF established Structural Adjustment Facility (SAF) in March 1986 to provide additional balance of payments assistance on concessional terms to the poorer member countries. In December 1987, the Enhanced Structural Adjustment Facility (ESAF) was set up to augment the availability of concessional resources to low income countries. The purpose of SAF and ESAF is to force the poor countries to undertake strong macroeconomic

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